

ANTI-MONEY LAUNDERING

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Securities and Futures Commission

25 June 2002

Introduction

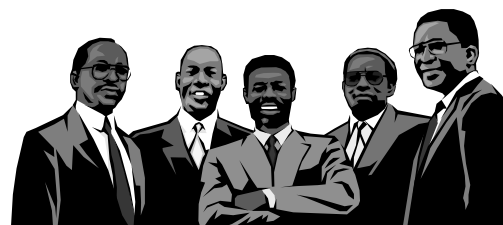
- Why is Money Laundering a concern?
- What role does SFC have in anti-money laundering? 
- Points for Intermediaries

Why is Money Laundering a concern?

- Reputational Risk
- Operational Risk
- Criminal and regulatory sanctions

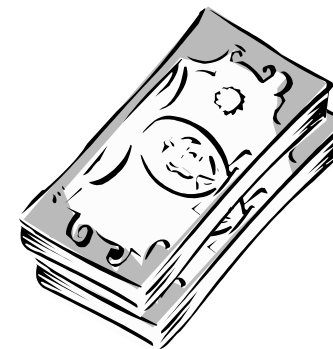
Why is Money Laundering a concern?

■ Reputational Risk



- ◆ Loss of customers' trust and business
- ◆ Can threaten the institution's financial position

Why is Money Laundering a concern?



- Operational Risk
 - ◆ Unenforceable contracts
 - ◆ Risk in financial failure as a result of being defrauded

Why is Money Laundering a concern?

- Criminal and regulatory sanctions
 - ◆ Possible large monetary fines and forfeiture provisions
 - ◆ Possible imprisonment



What role does SFC have in Anti - Money Laundering?

- Money Laundering, Guidance Notes issued by SFC
 - General background
 - Main provisions of anti-money laundering legislation in Hong Kong
 - Guidelines on policies and procedures

What role does SFC have in Anti - Money Laundering?

- Frequent circulars posted on SFC websites
- On-site inspection of intermediaries
- Close liaison with JFIU, Commissioner for Narcotics, Financial Services Bureau and HKMA

Points for Intermediaries

- Be mindful of guidelines and ensure proper implementation
- Be vigilant and report suspicious transactions
- Be inquisitive and seek clarification
- Management Support

The Role of Financial Intermediaries in Countering Money Laundering

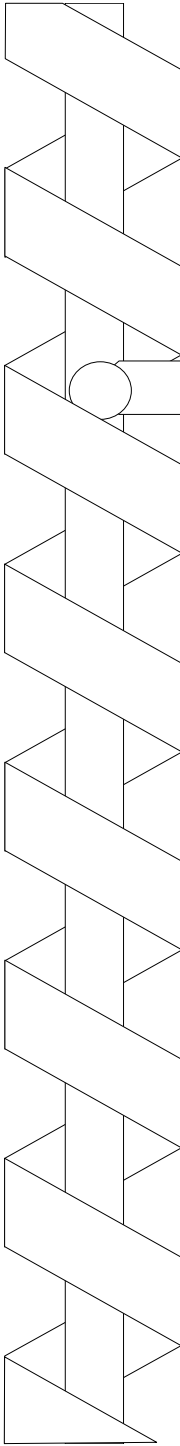
Securities and Futures Commission

Presented by Raymond Wong

Associate Director, Intermediaries Supervision

OUTLINE

- **International Initiatives**
- **Your Role**
- **Risk Indicators**
- **Conclusion**



- # International Initiatives

- **Financial Action Task Force (“FATF”)**
 - Established by the G-7 Summit of 1989 as an inter-governmental body to lead the global fight against money laundering
- **FATF – Style Regional Bodies**, Asia Pacific Group (APG), Caribbean Financial Action Task Force etc, developed to spread the Anti-money Laundering message.
- **Mission** – Extended to combat terrorist financing after the 9.11 attack
- **Hong Kong is member of FATF and APG**

• International Initiatives

FATF (website reference: www.fatf-gafi.org):

- Issued 40 Recommendations and adopted 8 additional Special Recommendations
- Mutual Evaluation of Member-jurisdictions
- Identification of Non-cooperative countries and territories (“NCCT”)
- Endorsed the use by IMF/WB of a methodology, based on all FATF 40 and 8 Recommendations in conducting Financial Sector Assessment Program (FSAP) and Reports on Observance Standards and Codes (ROSC) process.

• International Initiatives

40 Recommendations

- Outline the necessary legal framework, financial measures and international cooperation
- Last revised in 1996 and currently under review
- Consultation Paper recently released

• International Initiatives

40 Recommendations

- General Framework
- Roles of National Legal Systems in Combating Money Laundering
- **Role of Financial System in Combating Money Laundering**
- Strengthening of International Co-operation
- Interpretative Notes

• International Initiatives

40 Recommendations

Role of the Financial Intermediaries in Combating Money Laundering

- Customer Identification and Record Keeping Rules
- Detecting Money Laundering and Reporting of Suspicious Transactions
- Measures to cope with NCCTs

• International Initiatives

NCCT –15 countries

➤ Latest list

- | | | | |
|----------------|-----------|--------------------------------|-------------|
| • Cook Islands | Dominica | Egypt | Grenada |
| • Guatemala | Indonesia | Marshall Islands | Myanmar |
| • Nauru | Nigeria | Niue | Philippines |
| • Russia | Ukraine | St. Vincent and the Grenadines | |

• International Initiatives

8 Special Recommendations on anti-terrorist financing

- Ratification and implementation of UN instruments
- Criminalising the financing of terrorism and associated money laundering
- Freezing and confiscating terrorist assets
- Reporting suspicious transactions related to terrorism

- # International Initiatives

8 Special Recommendations on anti-terrorist financing

- International co-operation
- Alternative remittance
- Wire transfers
- Non-profit organisations

- # International Initiatives

Implications to you:

- United Nations (Anti-Terrorism Measures) Bill is at the Committee stage vetting by Legco (additional legal authority as well as obligation)
- Guidance on detecting terrorist financing

• Your Role

Guidance Notes – 3 parts

- Background
- Legislations
- Policies and Procedures

• Your Role

Policies and Procedures – should cover

- Client identification
- Record Keeping
- Retention of Records

• Your Role

Policies and Procedures – should cover

- Recognition and Reporting of Suspicious Transactions
- Procedures for Disclosure
- Education and Training

• Your Role

- *Client Identification*
 - Duty to know who it is dealing with
 - Identify the beneficial ownership and control
 - Verify the beneficial ownership and control

• Your Role

- ***Client Identification***
 - Good understanding on
 - Source of funds
 - Customer's background and nature of business
 - What are reasonable account activities
 - Conduct on-going due diligence and scrutiny

• Your Role

- ***Client Identification***
 - Should not effect transactions unless satisfied about the client's identity
 - No anonymous accounts
 - Care in account opened on behalf of a third person / trust account – check identities of all parties

• Your Role

- *Client Identification*
 - Avoidance of account opening by post
 - Overseas Clients
 - Avoidance of third party cheques

• Your Role

- *Record Keeping and Retention of Records*
 - Legislative requirements -
 - ❖ Accounting and trading records
 - ❖ Other records which explain the business transactions
 - ❖ Contract notes and statements of account

• Your Role

- *Record Keeping and Retention of Records*
 - Requirement by Code -
 - ❖ Customer Identification
 - ❖ Account Files
 - ❖ Business correspondence

- # Your Role

- *Recognition and reporting of Suspicious Transactions*
 - Examples of Suspicious Transactions
 - Reporting made to JFIU

• Your Role

- *Procedures for Disclosure*
 - Each individual's obligation to report – disclose to appropriate person in accordance with procedures established by company
 - Central reporting point
 - Reporting format

• Your Role

- *Education and Training*
 - Provide proper AML training to all staff
 - On-going training

• Your Role

Weaknesses identified

- Lacking of :
 - ❖ Awareness of individual's obligations
 - ❖ Comprehensive policy and procedure for recognition and reporting of suspicious transactions
 - ❖ Sufficient information on clients' financial situation, and investment objectives

• Your Role

Basic Steps to take

- Designate a person to take responsibility for the compliance function
- Develop written policies and procedures
- Ensure management support
- Cover all aspect of the firm's business
- Train employees
- On-going monitoring

- # Risk Indicators

Examples

- Guidance Notes issued by SFC
- Guidance Notes for financial institutions in detecting terrorist financing issued by FATF

• Risk Indicators

Case Study 1 – Collusion between company's staff and client to circumvent company's AML policy

- Client subscribed IPO
- Upon settlement day, delivered US\$ cash
- Firm's policy – No cash

• Risk Indicators

Case Study 1

- Cash deposited into Director's personal account
- Subsequent transfer to firm's bank account for settlement

• Risk Indicators

Case Study 2 – Company failed to perform further verification work on third party cheques

- Client B paid cheque into Client A's account
- Same day transferred out of Client A's account to third party

- # Risk Indicators

Case Study 2

- Client A account is active in selling and buying a particular stock
- Appearance of wash trading

- # Risk Indicators

*Case Study 3 – An “U-turn” transaction
which made no commercial sense*

- Client account historically inactive
- Sudden deposit of a significant amount

- # Risk Indicators

Case Study 3

- Trade increased slightly but not in proportion of amount deposited
- Amounts subsequently withdrawn, some being paid to third party company

• Risk Indicators

Case Study 4 – Transactions made no commercial sense together with client's unwillingness to cooperate indicate suspicion

- Client cheques of significant amounts paid into Director's personal bank account
- Transactions booked in the company

- # Risk Indicators

Case Study 4

- Amounts were not used for trading
- Amounts subsequently withdrawn from Director's personal account
- Client refused to provide details

• Conclusion

- New Bill and Guidance on Detecting Terrorist Financing
- Review of FATF Recommendations
- Ongoing commitment and vigilance by intermediaries
- SFC will continue its vigorous efforts to ensure and improve compliance by the licensed intermediaries.



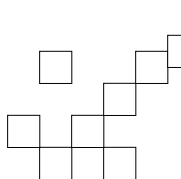
Anti-Money Laundering In Hong Kong

Financial Investigation Division

Narcotics Bureau

Hong Kong Police Force

Presenter : Chief Inspector Mark Butler



Money Laundering

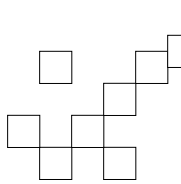
Simple Definition :

“Any transaction involving
the proceeds of crime.”



Main Sources of Illegal Proceeds

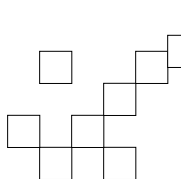
- ✓ Drug & Arms Trafficking
- ✓ Gambling/Bookmaking
- ✓ Loan-sharking
- ✓ Smuggling
(People & Dutiable goods)
- ✓ Robbery / Kidnapping / Extortion
- ✓ Prostitution
- ✓ Fraud
- ✓ Corruption
- ✓ Tax Evasion
- ✓ Terrorism



Reason For Money Laundering

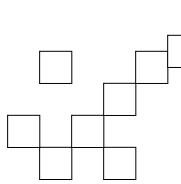
To conceal the real source of the money.

If the link between the money & the crime can be broken,
& an apparently legitimate source for the money established,
the money can be used openly.



Money Laundering Methods

- ◆ Placement
- ◆ Layering
- ◆ Integration

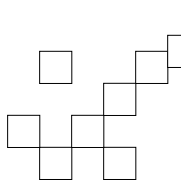


Placement

Criminal assets, especially cash are often conspicuous and hard to transport.

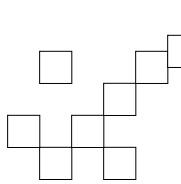
Such money needs converting into a bank balance or securities before it can be laundered.





Placement Methods

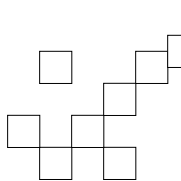
- ◆ Make many small deposits
- ◆ Set up a cash business
- ◆ Use a Lawyer
- ◆ Use a Casino
- ◆ Use an underground bank
- ◆ Use a front man



Layering

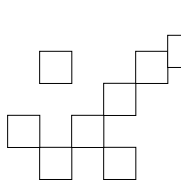
A complex layer of financial transactions
which separate the money from its source.

Each transaction is designed to appear
innocent on its own.



Layering Methods

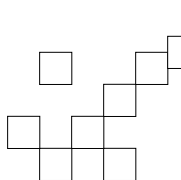
- ◆ Telegraphic transfers
- ◆ Cashier's orders/Traveller's Cheques
- ◆ Shell companies
- ◆ Secured loans
- ◆ Credit cards
- ◆ Underground banks
- ◆ Lawyers



Integration

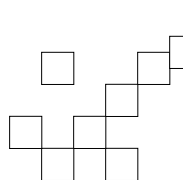
The money is brought back
into the launderer's possession
from an apparently legitimate source.

This then enables the money to be used
openly.



Some Common Methods in ML

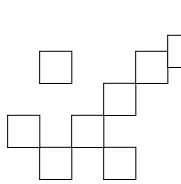
- ◆ Shell Companies
- ◆ Secretarial Co.
- ◆ Lawyers / Accountants
- ◆ Remittance Centres
- ◆ Casino
- ◆ Front Man



Suspicious Transaction Reports (STRs)

Sec.25A of DTROP and OSCO

A person who suspects that
any property represents
the proceeds of drug trafficking or any indictable offence
shall report this to a Police Officer.



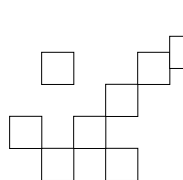
Benefits of Disclosure

Immunity

from prosecution

for dealing in the property

provided you are given consent to deal



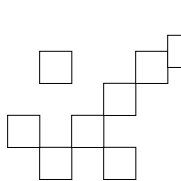
Benefits of Disclosure

protected from any civil action

alleging breach of confidentiality

What about Privileged Information ?

No !!!!



Benefits of Disclosure

not liable

for any damages or loss

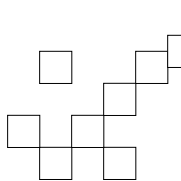
resulting from the disclosure



Benefits of Disclosure

the existence of a disclosure and the identity of
the informant is protected.

Subject of a STR cannot be informed.



Benefits of Disclosure

Normally you can continue to deal with the client after making a STR.

An acknowledgement letter with consent will be sent to you.



Your Reputation is at RISK !!!

- The Criminals can out compete honest business
- Dirty Money drives out clean money
- Adverse publicity may cause a loss of confidence in the integrity of your firm



Your Reputation is at RISK !!!

SOLUTION

Ensure continuous vigilance through an effective Know Your Customer program

Identify the beneficial owners of accounts

Identify and Report any unusual patterns of transactions with no apparent economic purpose

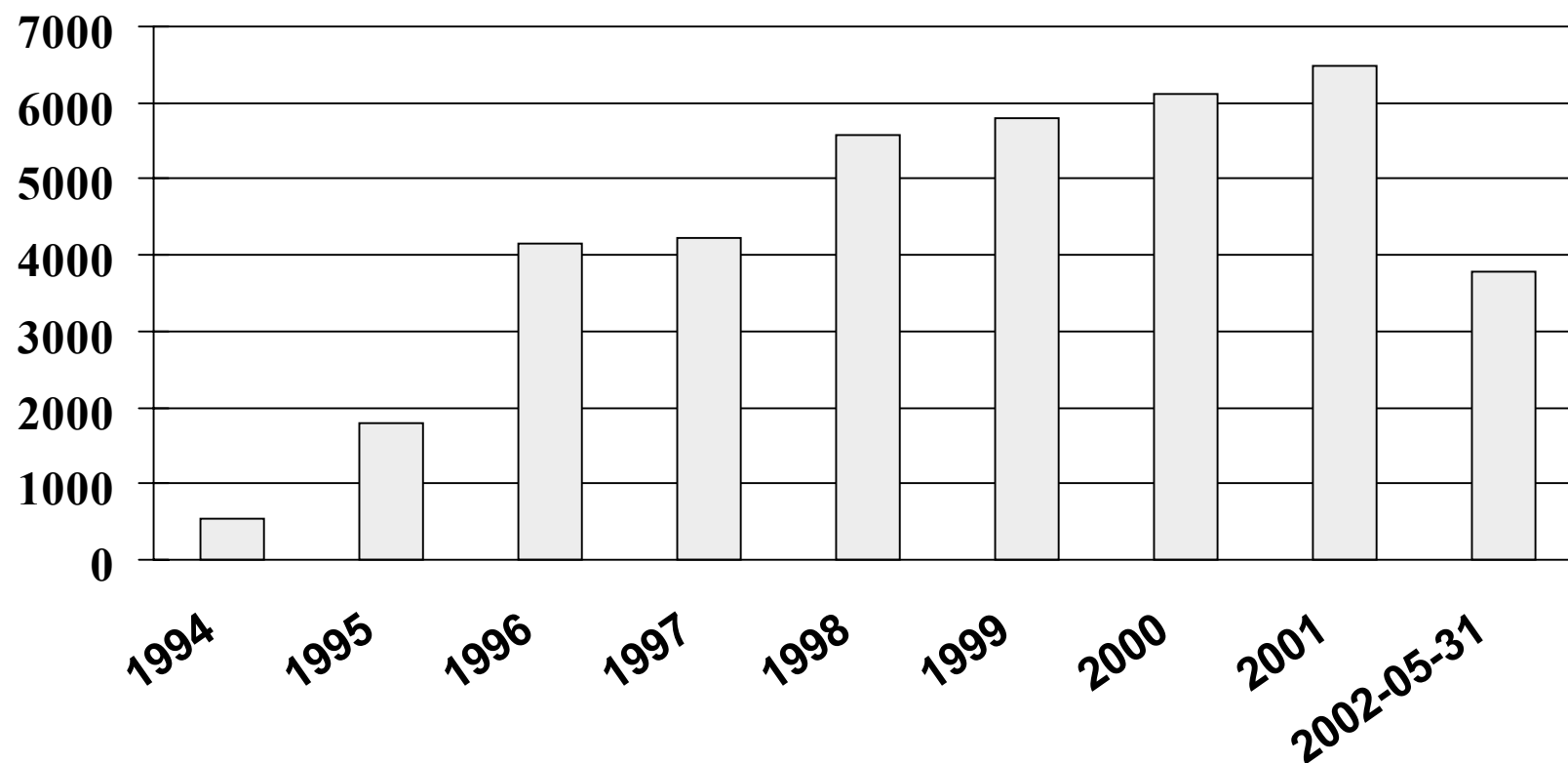


Your Reputation is at RISK !!!

- ◆ Should approach customer due diligence from a wide prudential perspective
- ◆ Not just anti-money laundering perspective
- ◆ Consider anti-money laundering prevention to be a critical element in the effective management of the risk to your firm.



STR Statistics





STR Statistics

Securities Sector

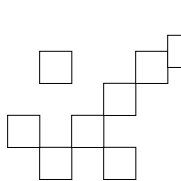
<u>Year</u>	<u>Total</u>	<u>STRs</u>
1997	4227	13
1998	5570	6
1999	5804	5
2000	6104	41
2001	6484	65
2002*	3787	37

*up to 31st May 2002

(Projected for 2002 - 35% increase)

22



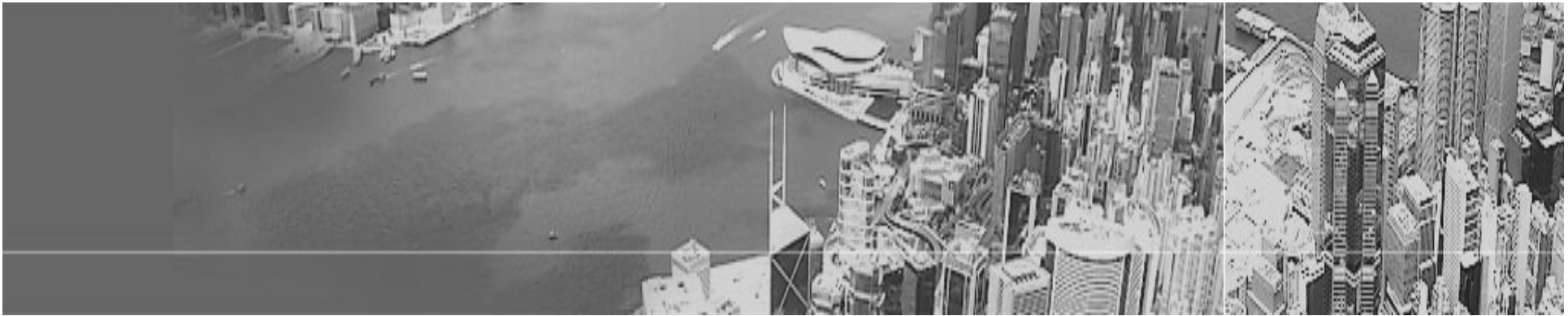


Results (as at 31st May 2002)

No. of persons convicted of
“Money Laundering” : 63

Amount of funds which are under restraint :
HK\$ 1,168 million

Amount of funds which have been confiscated
following conviction :
HK\$ 470 million

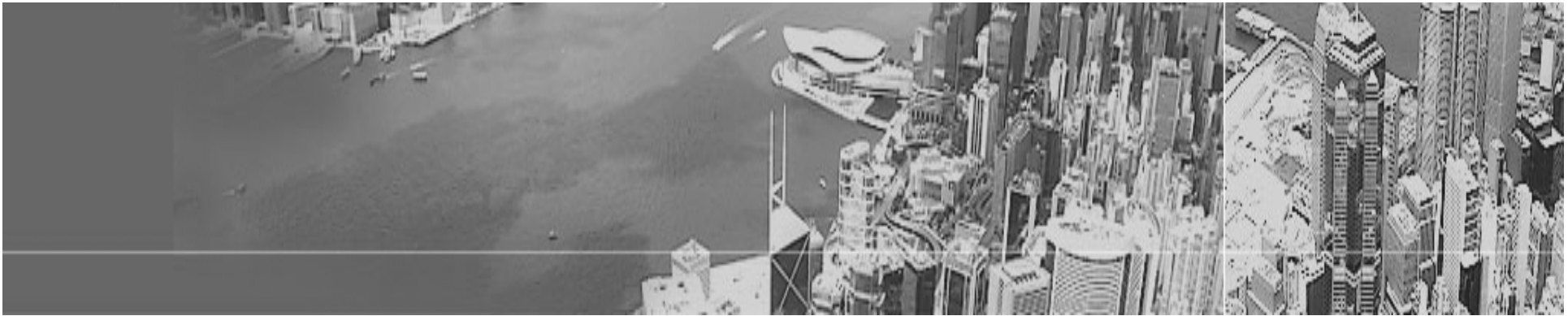


Anti-Money Laundering In Hong Kong

Financial Investigation Division

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Hong Kong Police Force



Suspicious Transaction Reporting in the Financial Industry

Financial Investigation Division

Narcotics Bureau

Hong Kong Police Force

Presenter : CHENG Yiu-mo, Nelson

Suspicious Transaction Reports (STR's)

- ♦ Quality & Quantity
- ♦ Obligation vs Statute Requirement
- ♦ Partnership



The Systematic Approach To Making STR's

Step One : Recognition that a transaction or series of transactions displays a suspicious activity indicator or indicators.



Suspicious Activity Indicators

- These are the entities & transaction patterns commonly associated with money laundering.



Suspicious Activity Indicators

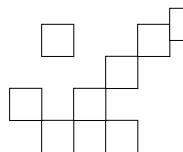
The following transactions / entities :

- cash transaction / cash courier
- third party payment / address
- remittance agent & money changer
- incommensurate with clients' background
- uneconomic transaction
- shell company
- power of attorney

Suspicious Activity Indicators(Continued)

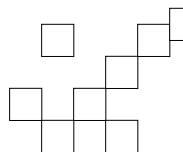
More :

- entities (personal or corporate) associated with, or nationals of the high risk countries, e.g.
- ◆ commonly associated with drug trafficking, drug production, fraud & money laundering.
- ◆ identified as having serious deficiencies in Anti Money Laundering regime.



Step 2 : Tactful Inquiries

- ◆ Indirect questioning to minimize offending the clients, e.g. safe & security, better service
- ◆ If a customer gives a reply which is unlikely to be true, or refuses to reply, the level of suspicion is increased



Step 3 : Known Information

- ◆ Business nature / profit
- ◆ Employment & salary
- ◆ Business / residential address
- ◆ Years in the service / age
- ◆ Previous financial activities

The Systematic Approach To Making STR's

Step Four : Consider if the activity is genuinely suspicious after considering each of the previous three steps.

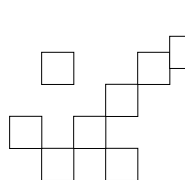
If so, report



To Recap The Four Stages :

- (a) recognition that a transaction or series of transactions displays a suspicious activity indicator or indicators.
- (b) appropriate questioning of the customer.
- (c) review of information already known to the bank.
- (d) consider (a), (b) and (c) when deciding if the customers activity is suspicious.

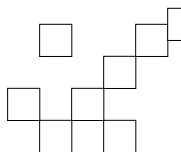
If suspicious, make a STR.



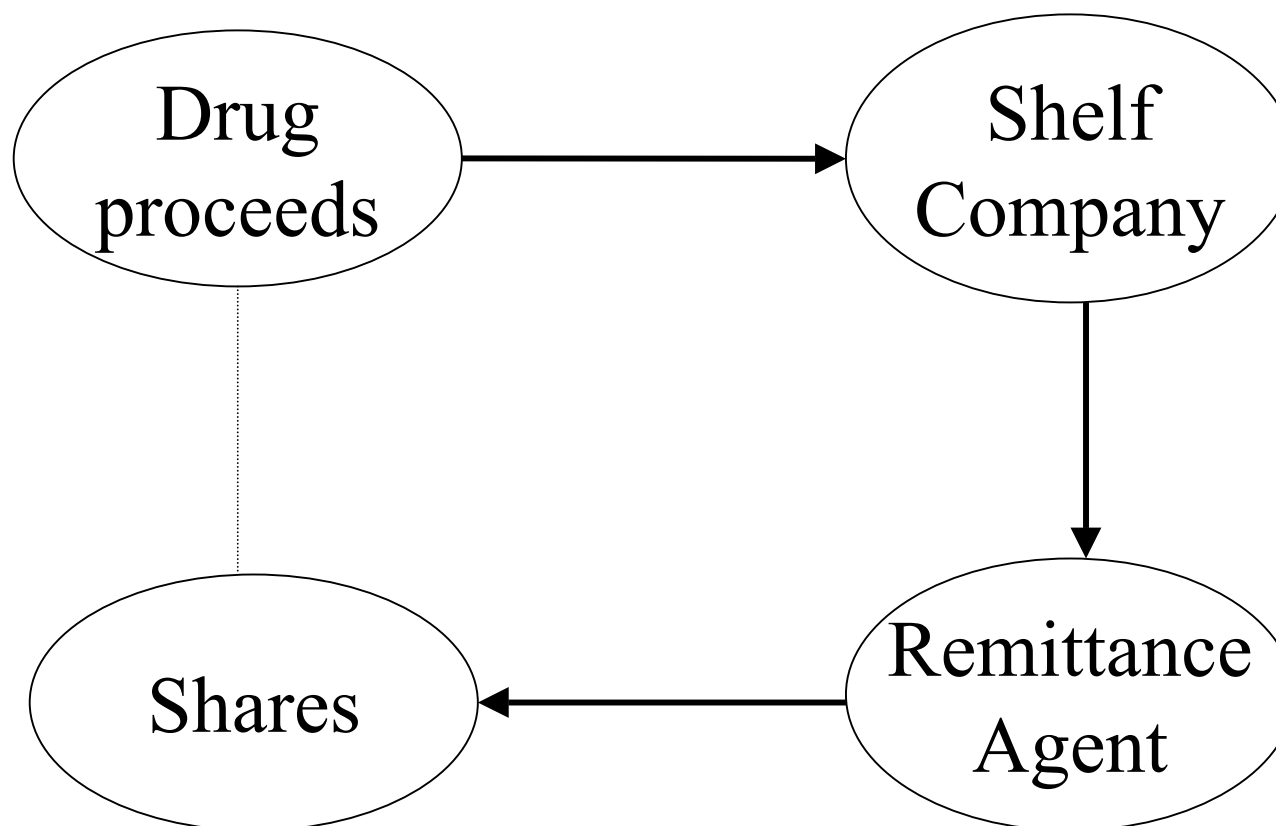
Case 1

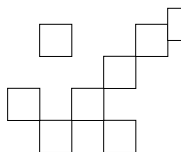


- ◆ Buy ‘ABC’ shares at US\$150,000 by cash
- ◆ Sold at US\$250,000 & collected cash
- ◆ Shell company
- ◆ Director of ‘ABC’
- ◆ Large size of cash transaction
- ◆ High rate of return in 3 months
- ◆ Dormant account

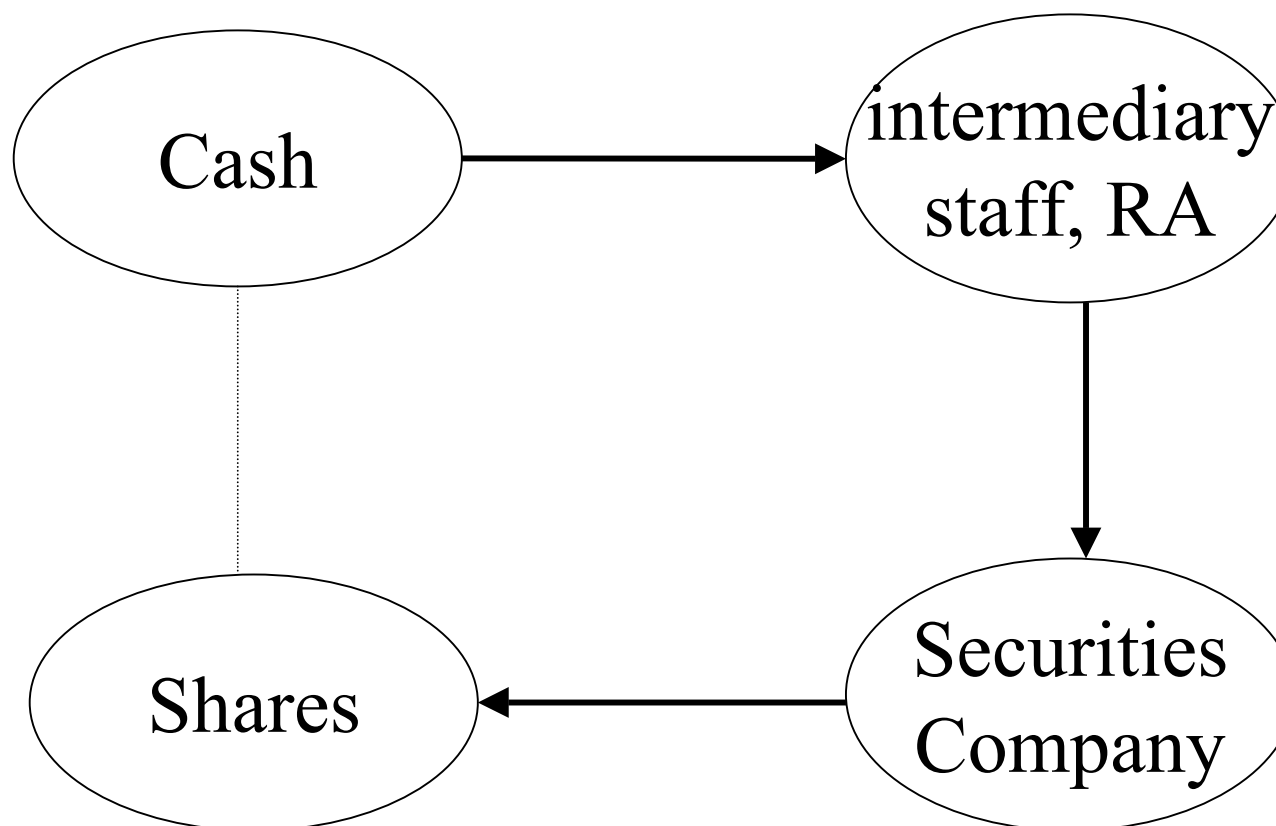


Case 2





In Hong Kong ?



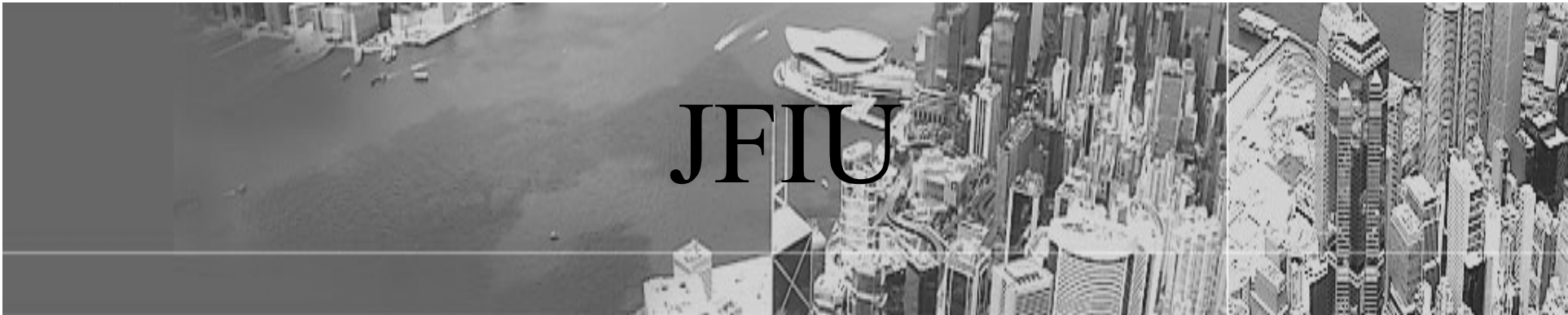


- ◆ Cash
- ◆ Piecemeal transaction / smurf
- ◆ Indirect / uneconomic fund flow
- ◆ Intermediary:-
3rd party, remittance agent, professional firm,
shelf company in offshore centre, casino,
financial advisor
- ◆ Staff



Are STR's Useful ? Yes !

- ◆ Assist in restraint & confiscation of crime proceeds.
- ◆ Assist in “Money Laundering” investigations.
- ◆ Provide intelligence on the financial activities of criminals which gives a good indication of their criminal activities.



JFIU

For more information,
please visit our Website :-

www.jfiuhk.com



Thank You